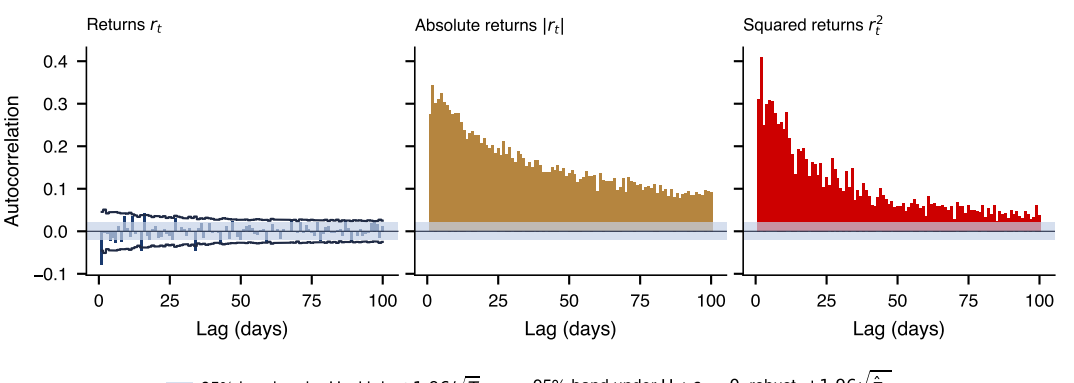
Returns r_t
Absolute returns $|r_t|$
Squared returns r_t^2
Autocorrelation
0.4
0.3
0.2
0.1
0.0
−0.1
0
25
50
75
100
Lag (days)
95% band under H_0: i.i.d., $\pm 1.96/\sqrt{T}$
95% band under H_0: $\rho_k = 0$, robust, $\pm 1.96\sqrt{\hat{\tau}_k}$